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**FINAL TERM EXAMINATION**

**Spring 2010**

**ECO403- Macroeconomics (Session - 1)**

**Ref No: 1378107**

**Time: 90 min**

**Marks: 66**

| Student Info |             |
|--------------|-------------|
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|              |           |           |           |           |           |           |           |           |              |
|--------------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|--------------|
| <b>Q No.</b> | <b>1</b>  | <b>2</b>  | <b>3</b>  | <b>4</b>  | <b>5</b>  | <b>6</b>  | <b>7</b>  | <b>8</b>  | <b>Total</b> |
| <b>Marks</b> |           |           |           |           |           |           |           |           |              |
| <b>Q No.</b> | <b>9</b>  | <b>10</b> | <b>11</b> | <b>12</b> | <b>13</b> | <b>14</b> | <b>15</b> | <b>16</b> |              |
| <b>Marks</b> |           |           |           |           |           |           |           |           |              |
| <b>Q No.</b> | <b>17</b> | <b>18</b> | <b>19</b> | <b>20</b> | <b>21</b> | <b>22</b> | <b>23</b> | <b>24</b> |              |
| <b>Marks</b> |           |           |           |           |           |           |           |           |              |
| <b>Q No.</b> | <b>25</b> | <b>26</b> | <b>27</b> | <b>28</b> | <b>29</b> | <b>30</b> | <b>31</b> | <b>32</b> |              |
| <b>Marks</b> |           |           |           |           |           |           |           |           |              |
| <b>Q No.</b> | <b>33</b> | <b>34</b> | <b>35</b> | <b>36</b> | <b>37</b> | <b>38</b> | <b>39</b> | <b>40</b> |              |
| <b>Marks</b> |           |           |           |           |           |           |           |           |              |
| <b>Q No.</b> | <b>41</b> | <b>42</b> | <b>43</b> | <b>44</b> | <b>45</b> | <b>46</b> | <b>47</b> | <b>48</b> |              |
| <b>Marks</b> |           |           |           |           |           |           |           |           |              |



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**Question No: 1 ( Marks: 1 ) - Please choose one**

Which of the following is TRUE about the measurement of Real Gross Domestic Product?

- ▶ It is measured in the prices of a base year.
- ▶ It is measured in current dollars.
- ▶ It is measured at a constant output level but at current prices.
- ▶ It is measured as the difference between the current year's GDP and last year's GDP.

**Question No: 2 ( Marks: 1 ) - Please choose one**

Social security payments are examples of which of the following?

- ▶ Services
- ▶ Non-durable goods
- ▶ Durable goods
- ▶ Transfer payments

**Question No: 3 ( Marks: 1 ) - Please choose one**

Which of the following would NOT be counted as a government purchase of a good or a service?

- ▶ The purchase of a new stealth bomber.



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- ▶ Your grandmother's receipt of her monthly Social Security benefit.
- ▶ The construction of a new dam by the U.S. Army Corps of Engineers.
- ▶ The hiring of a new police officer by New York City.

**Question No: 4 ( Marks: 1 ) - Please choose one**

Which of the following shows the slope of the consumption function?

- ▶ The marginal propensity to consume.
- ▶ The marginal propensity to save.
- ▶ The autonomous consumption spending.
- ▶ Marginal rate of substitution.

**Question No: 5 ( Marks: 1 ) - Please choose one**

According to the Fisher effect, a higher inflation rate leads to which of the following?

- ▶ Higher real money balances
- ▶ A higher nominal interest rate
- ▶ A higher real interest rate
- ▶ All of the given options

**Question No: 6 ( Marks: 1 ) - Please choose one**



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If net exports are negative, this implies that the country has a:

- ▶ Trade surplus.
- ▶ Trade deficit.
- ▶ Government budget surplus.
- ▶ Government budget deficit.

Question No: 7 ( Marks: 1 ) - Please choose one

Television sets are examples of:

- ▶ Durable goods.
- ▶ Services.
- ▶ Non-durable goods.
- ▶ Transfer products.

Question No: 8 ( Marks: 1 ) - Please choose one

Which of the following would decrease aggregate demand?

- ▶ Increased consumption.
- ▶ Increased export revenue.
- ▶ Increased taxation revenue.



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- ▶ Increased investment.

**Question No: 9 ( Marks: 1 ) - Please choose one**

Which of the following events will lead to an increase in the demand for money?

- ▶ An increase in the level of aggregate output.
- ▶ A decrease in the price level.
- ▶ An increase in the interest rate.
- ▶ An increase in the supply of money.

**Question No: 10 ( Marks: 1 ) - Please choose one**

If the exchange rate is above the equilibrium level:

- ▶ There is excess demand and the exchange rate will fall.
- ▶ There is excess supply and the exchange rate will fall.
- ▶ There is excess demand and the exchange rate will rise.
- ▶ There is excess supply and the exchange rate will rise.

**Question No: 11 ( Marks: 1 ) - Please choose one**

Nominal exchange rate in terms of growth rate can be written as:

- ▶  $\Delta \varepsilon / \varepsilon + \pi^* - \pi$ .



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▶  $\Delta\varepsilon/\varepsilon - \pi^* + \pi.$

▶  $\Delta\varepsilon/\varepsilon - \pi^* - \pi.$

▶  $\Delta\varepsilon/\varepsilon + \pi^* + \pi.$

**Question No: 12 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ **Labor productivity measures:**

- ▶ The output per worker.
- ▶ The output per machine.
- ▶ Total output.
- ▶ Marginal output.

**Question No: 13 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ **There is an increase in the economy's potential output when there is:**

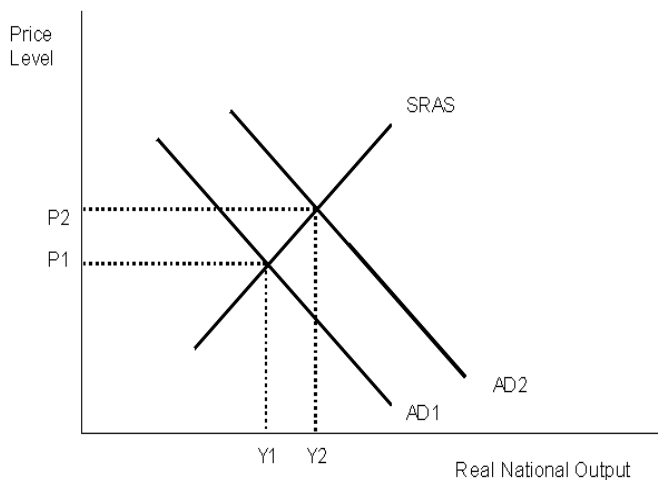
- ▶ An increase in government spending.
- ▶ A decrease in government spending.
- ▶ An increase in the economy's capital stock.
- ▶ An increase in the economy's depreciation rate.

**Question No: 14 ( Marks: 1 ) - Please choose one**



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The diagram below shows the aggregate demand and supply curves for an economy. The movement of the economy from equilibrium at Y1 to equilibrium at Y2 could be caused by an increase in:



- ▶ The level of government spending.
- ▶ The rate of inflation.
- ▶ Interest rates.
- ▶ Discount rates.

Question No: 15 ( Marks: 1 ) - Please choose one

As interest rate increases, fiscal policy crowds out:

- ▶ Consumption.
- ▶ Investment.
- ▶ Taxes.



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- ▶ Net exports.

**Question No: 16 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ **Trade policy is totally ineffective on output under:**

- ▶ Floating exchange rate.
- ▶ Fixed exchange rate.
- ▶ Nominal exchange rate.
- ▶ Real exchange rate.

**Question No: 17 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ **The factor that is sticky in the sticky-wage model is:**

- ▶ The real wage.
- ▶ The nominal wage.
- ▶ Output level.
- ▶ Rate of inflation.

**Question No: 18 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ **Most nations of the world are:**

- ▶ Closed economies.
- ▶ Open economies.



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- ▶ Self sufficient.
- ▶ None of the given options.

**Question No: 19 ( Marks: 1 ) - Please choose one**

According to Fisher's model of consumption, all of the following statements about the intertemporal budget constraint are true EXCEPT:

- ▶ If current consumption rises, the resources available for future consumption will fall.
- ▶ Consumption in Period 1 must be less than or equal to consumption in Period 2.
- ▶ In the first period, saving is equal to first-period income minus consumption.
- ▶ Consumers take into account both current income and expected future income when making consumption choices.

**Question No: 20 ( Marks: 1 ) - Please choose one**

A rise in the general level of interest rates is most likely to cause a fall in:

- ▶ The exchange rate.
- ▶ The rate of unemployment.
- ▶ The saving ratio.
- ▶ The level of planned capital investment.

**Question No: 21 ( Marks: 1 ) - Please choose one**



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Investment may be defined as:

- ▶ Spending on goods and services by consumers.
- ▶ Any addition to the capital stock of an economy.
- ▶ That part of household spending which is not spent on consumption.
- ▶ All types of spending by the government.

Question No: 22 ( Marks: 1 ) - Please choose one

If consumers are forward looking then future taxes are equivalent to:

- ▶ Current taxes.
- ▶ Current budget.
- ▶ Current consumption.
- ▶ Current savings.

Question No: 23 ( Marks: 1 ) - Please choose one

According to intertemporal budget constraint, if current consumption  $<$  current income then:

- ▶ Consumer's saving is positive.
- ▶ Consumer's saving is negative.
- ▶ Consumer's saving is zero.
- ▶ All of the given conditions are possible.



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**Question No: 24 ( Marks: 1 ) - Please choose one**

According to  
intertemporal budget constraint, if  $\text{current consumption} > \text{current income}$  then:

- ▶ Consumer's saving is positive.
- ▶ Consumer's saving is negative.
- ▶ Consumer's saving is zero.
- ▶ All of the given conditions are possible.

**Question No: 25 ( Marks: 1 ) - Please choose one**

Who first derived the  
implications of rational expectations for consumption?

- ▶ Keynes.
- ▶ Friedman.
- ▶ Robert Hall.
- ▶ Adam Smith.

**Question No: 26 ( Marks: 1 ) - Please choose one**

Modigliani presented  
the life cycle hypothesis in:

- ▶ 1950.



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- ▶ 1957.
- ▶ 1960.
- ▶ 1966.

**Question No: 27 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ Revenue – cost = -----  
-----

- ▶ Inflation rate.
- ▶ Interest rate.
- ▶ Discount rate.
- ▶ Profit rate.

**Question No: 28 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ Which of the following measures the expected future profitability as well as the current profitability?

- ▶ Tobin's q
- ▶ Sacrifice ratio
- ▶ Real cost of capital
- ▶ Okun's Law

**Question No: 29 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ Inventory investment is proportional to the change in output. Which model describes this statement?



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- ▶ Multiplier model.
- ▶ Accelerator model.
- ▶ IS-LM model.
- ▶ AD-AS model.

**Question No: 30 ( Marks: 1 ) - Please choose one**

Which of the following assumes that the demand for real money balances is directly proportional to income?

- ▶ Quantity theory of money.
- ▶ Transaction theory of money.
- ▶ Portfolio theory of money.
- ▶ All of the given options.

**Question No: 31 ( Marks: 1 ) - Please choose one**

What are the four sources of aggregate demand?

- ▶ Consumption, investment, taxes, and expenditures
- ▶ Consumption, investment, wage increases, and government expenditures
- ▶ Consumption, investment, expenditures, and net exports
- ▶ Consumption, investment, government purchases, and net exports



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**Question No: 32 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ In the long run, a decrease in aggregate demand, all other things unchanged, will cause the price level to \_\_\_\_\_ and full employment level of output to \_\_\_\_\_.

- ▶ Increase; increase
- ▶ Decrease; decrease
- ▶ Increase; remain stable
- ▶ Decrease; remain stable

**Question No: 33 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ In the short run, the equilibrium price level and the equilibrium level of total output are determined by the intersection of:

- ▶ The aggregate demand, the short-run aggregate supply and the long-run aggregate supply curves.
- ▶ The short-run aggregate supply and the long-run aggregate supply curves.
- ▶ The aggregate demand and the short-run aggregate supply curves.
- ▶ The aggregate demand and the long-run aggregate supply curves.

**Question No: 34 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ In the Keynesian Cross model, the equilibrium condition for an open economy is given by:

- ▶  $Y = C$
- ▶  $Y = C + I$
- ▶  $Y = C + I + G$
- ▶  $Y = C + I + G + (X - M)$



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**Question No: 35 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ **If the government increases government spending, then the aggregate demand curve will:**

- ▶ Shift to the right.
- ▶ Shift to the left.
- ▶ Become flatter.
- ▶ Become steeper.

**Question No: 36 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ **The use of central bank policies to influence the level of \_\_\_\_\_ economic activity is called:**

- ▶ Banking and finance policy.
- ▶ Financial market policy.
- ▶ Monetary policy.
- ▶ Trade policy.

**Question No: 37 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ **In a small open economy, the aggregate demand curve is downward-sloping because a decline in the price level raises real money balances and:**

- ▶ Lowers the interest rate, thereby expanding investment.
- ▶ Raises wealth, thereby expanding consumer spending.



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- ▶ Lowers the exchange rate, thereby expanding net exports.
- ▶ Increases the exchange rate, thereby expanding net exports.

**Question No: 38 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ The budget deficit is an example of:

- ▶ Flow.
- ▶ Index.
- ▶ Capital account.
- ▶ Stock.

**Question No: 39 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ Suppose a consumer works for 40 years and then spends 20 years in retirement. According to life-cycle hypothesis, during her working years, this consumer would:

- ▶ Spend all of her income and borrow for extra spending.
- ▶ Save all of her income.
- ▶ Save some fraction of her income.
- ▶ Spend all of her income.

**Question No: 40 ( Marks: 1 ) - Please choose one**

\_\_\_\_\_ The change in the capital stock, known as net investment, depends positively on the:

- ▶ Inflation rate.



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- ▶ Profit rate.
- ▶ Nominal interest rate.
- ▶ Corporate tax rate.

**Question No: 41 ( Marks: 1 ) - Please choose one**

Suppose there is recession in the economy that is expected to be short in duration. The banking system, however, decides to curtail lending, so that the corporate sector faces binding financing constraints. This causes:

- ▶ Tobin's q and investment both to fall only slightly.
- ▶ Tobin's q and investment both to fall considerably.
- ▶ Tobin's q to go down considerably, while investment is only slightly affected.
- ▶ Tobin's q to be only slightly affected, while investment goes down considerably.

**Question No: 42 ( Marks: 1 ) - Please choose one**

The major difference between endogenous growth theory and Solow growth model is that:

- ▶ Endogenous growth theory is a monetary theory whereas the Solow theory is a real theory.
- ▶ Endogenous growth theory assumes diminishing returns to capital and the Solow theory assumes constant returns.
- ▶ In endogenous growth theory, economies with the same technology and saving rate need not converge to the same steady state as in the Solow model.
- ▶ All of the given options are correct.

**Question No: 43 ( Marks: 3 )**



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Why the prices are sticky in the short run? Discuss.

Question No: 44 ( Marks: 3 )

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What is the difference between life-cycle hypothesis and the Keynesian consumption function?

Question No: 45 ( Marks: 3 )

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"Tobin's  $q$  and neoclassical model of investment are closely related". How?

Question No: 46 ( Marks: 5 )

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What is meant by capital budgeting? Explain with the help of an example.

Question No: 47 ( Marks: 5 )

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Graphically discuss the impact of a fiscal expansion on output and exchange rate in the Mundell-Fleming model equilibrium under fixed exchange rate.



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**Question No: 48 ( Marks: 5 )**

Assume that the reserve requirement ratio (rr) of Muslim Commercial Bank (MCB) is 10% and bank's initial deposit is \$2000.

- a. By using this information, make initial balance sheet of MCB.
- b. Calculate money multiplier.
- c. What is the major difference between bank and other financial institutions?

**(Marks: 2+2+1)**